'genuine holders' at the Reserve Bank of India. Those exchanging notes could only do so on the basis of declarations explaining the source of earnings. The exchange was not permitted if the explanation of the source of income was not satisfactory.

There were quite a few complexities to deal with. It was believed that about 60 per cent of the currency was held in the Princely States and, therefore, the cooperation of the maharajas and princes was essential. It was finally agreed that while Indian princes would not be exempt, they would be allowed to use a special form approved by the crown representative in their state. There was also the issue of Indian currency which was held and used in the Persian Gulf that had to be dealt with.

As an aside, this is an interesting bit of history. The Indian rupee traditionally enjoyed wide currency in the Persian Gulf – Kuwait, Bahrain, Qatar, and the Trucial States (now the UAE). On presentation by banks in these areas to the Reserve Bank, these notes were redeemable in foreign currency equivalent. This clearly presented a major challenge during the 1946 demonetization, as 'black money' from India could effectively be laundered through the Gulf route.

Post-Independence, the problem was compounded. Though India had started off with a comfortable foreign exchange position, this was rapidly depleted. To prevent malpractices that could exploit the traditional currency arrangements with the Gulf, a separate series of notes exclusively for circulation in the Gulf were issued in the 1950s. The notes had the same design but were different in colour and carried the prefix 'Z'. The notes were issued in the denominations of one, ten and hundred rupees and were redeemable only at the RBI's Bombay office of issue. As the Gulf States issued their own currency, these notes were withdrawn over a period of time from the early 1960s and ceased to be used around 1970.

It is interesting to note that the then Governor of the Reserve Bank, Sir Chintaman Dwarakanath Deshmukh, disagreed with the move to demonetize.